

QUESTION (17 marks)

Tesla Inc. describes itself as follows: *We are focused on bringing artificial intelligence (“AI”) into the real world, through products and services like Full Self-Driving (“FSD”) (Supervised) and Robotaxi, as well as working to develop and commercialize AI robots (“Bots”) (including Optimus).* (Source: Tesla 2025 [annual filing](#), also called “10-K” filing, in the US)



Tesla’s online [FAQ](#) notes: *Tesla has never declared dividends on our common stock. We intend on retaining all future earnings to finance future growth and therefore, do not anticipate paying any cash dividends in the foreseeable future.*

PART 1 (6 marks)

REQUIRED: Use Tesla’s balance sheet and income statement information. Determine the missing numbers. We will review Tesla’s recent performance in future sessions.

	ROW /COLUMN:	A	B	C	D	E
1	Balance Sheet, as at (\$m USD)	Dec. 31, 2025	Dec. 31, 2024	Dec. 31, 2023	Dec. 31, 2022	Dec. 31, 2021
2	Assets					
3	Cash	16,513	16,139	16,398	16,253	17,576
4	Non-cash assets	121,293	105,931	C4	66,085	44,555
5	Total assets	137,806	122,070	C5	82,338	62,131
6	Total liabilities	54,941	48,390	43,009	36,440	30,548
7	Equity:					
8	Contributed equity	42,773	38,374	34,895	32,180	29,806
9	Retained earnings (deficit)	39,003	35,209	C9	12,885	329
10	Other equity and items	1,089	97	832	833	1,448
11	Total Equity	82,865	73,680	C11	45,898	31,583
13						
14	Income Statement, for fiscal year (\$m USD)	Dec. 31, 2025	Dec. 31, 2024	Dec. 31, 2023	Dec. 31, 2022	Dec. 31, 2021
15	Revenues	94,827	97,690	96,773	81,462	53,823
16	Cost of revenues	77,733	80,240	C16	60,609	40,217
17	Gross profit	17,094	17,450	17,660	20,853	13,606
18	Other expenses and items	13,300	10,359	2,663	8,297	8,087
19	Net income attributable to Tesla shareholders	3,794	7,091	14,997	12,556	5,519

#5 **C4:** Non-cash assets on Dec. 31, 2023
 Non-cash assets = total assets – cash = C5 – C3 = **\$106,618** - \$16,398 = \$90,220

#4 **C5:** Total assets on Dec. 31, 2023
 Total assets = total liabilities + total equity = C6 + C11 = \$43,009 + **\$63,609** = **\$106,618**

#2 **C9:** Retained earnings on Dec. 31, 2023
 Retained earnings on Dec. 31, 2023 = retained earnings on Dec. 31, 2022 + earnings – dividends (notice that Tesla never declared dividends)
 = D9 + C19 – nil = **\$12,885** + \$14,997 – nil = **\$27,882**

#3 **C11:** Total equity on Dec. 31, 2023
 Total equity = contributed equity + retained earnings + other equity and items
 = C8 + C9 + C10 = \$34,895 + **\$27,882** + \$832 = **\$63,609**

#1 **C16:** Cost of revenues for year ending Dec. 31, 2023
 Revenues – cost of revenues = gross profit. Therefore, we can re-arrange to solve as cost of revenues = revenues – gross profit = C15 – C17
 = \$96,773 - \$17,660 = \$79,113

PART 2 (2 marks)

REQUIRED: Use Tesla's financial information (including from previous page) to calculate the two key ratios for 2023.

Ratio	Dec. 31, 2025	Dec. 31, 2024	Dec. 31, 2023	Dec. 31, 2022	Dec. 31, 2021
Debt-to-Equity ratio	0.66	0.66	0.68	0.79	0.97
Return on Equity ratio	5%	10%	27%	32%	20%

Debt-to-Equity ratio on Dec. 31, 2023:

$$\begin{aligned} &= \text{total liabilities} / \text{total equity} \\ &= A6 / A11 = 43,009 / 63,609 = 0.68 \end{aligned}$$

For each \$1 of total equity, Tesla had \$0.68 of liabilities

Return on Equity ratio for year ending December 31, 2023:

$$\begin{aligned} &= \text{net income} / \text{average total equity} \\ &= A19 / ((A11 + B11) / 2) = 14,997 / ((63,609 + 45,898) / 2) = 0.27 \text{ or } 27\% \end{aligned}$$

For each \$1 of average equity, Tesla earned \$0.27 in 2023. Please remember that we use average equity because net income is earned throughout the year, not at a single point in time. We will discuss net income attributable to shareholders in future classes.

PART 3 (4 marks)

REQUIRED: How are Tesla's assets financed, and how has this changed over time? What do you expect going forward?

Even though total liabilities continue to increase, we notice a steadily decreasing debt-to-equity ratio. This means that there are less and less liabilities for each \$1 of equity over time. Therefore, Tesla's assets are increasingly financed by equity.

Biggest increases in equity are coming from increases in retained earnings. In other words, from profits generated by Tesla, which are retained and reinvested in company's growth. As noted by Tesla "We intend on retaining all future earnings to finance future growth and therefore, do not anticipate paying any cash dividends in the foreseeable future." Assuming Tesla remains profitable, we can expect this to be a significant source of financing going forward.

PART 4 (5 marks)

REQUIRED: Classify Tesla's 2025 cash transactions below as operating, investing, or financing. Write "+" (if cash is increasing) or "-" (if cash is decreasing) in the correct column.

Transaction	Operating	Investing	Financing
Tesla paid \$37.1 billion to purchase financial investments (e.g., shares of other companies)		-	
Tesla paid \$8.5 billion to purchase property and equipment		-	
Tesla borrowed \$5.6 billion as debt			+
Tesla repaid \$5.5 billion of debt			-
Tesla received \$30.1 billion from sale and maturities of financial investments		+	

Additional Notes:

- ☐ **Purchasing financial investments** is classified as an **investing activity** because it involves acquiring long-term assets that are not intended for immediate sale and are not part of Tesla's core operations. This transaction results in a cash outflow (-) as Tesla uses its cash reserves to purchase shares or other financial instruments, aiming to generate returns over time.
- ☐ **Purchasing property and equipment** falls under **investing activities** since it entails capital expenditures on fixed assets necessary for Tesla's operations, such as factories, machinery, or technology infrastructure. This leads to a decrease in cash (-) as the company invests in its productive capacity to support future growth and operations.
- ☐ **Borrowing debt** is a **financing activity** because it involves obtaining funds through issuing debt instruments like bonds or loans. This transaction results in an increase in cash (+) as Tesla raises capital to finance its operations, invest in new projects, or refinance existing obligations.
- ☐ **Repaying debt** is categorized as a **financing activity** since it involves the outflow of cash to reduce the company's liabilities by paying back borrowed funds. This results in a cash outflow (-), reflecting Tesla's efforts to manage its debt levels and maintain a healthy financial position.
- ☐ **Receiving cash from the sale and maturities of financial investments** is an **investing activity** because it involves disposing of financial assets previously held by Tesla. This transaction leads to a cash inflow (+) as the company liquidates its investments, thereby converting non-cash assets back into cash to be used for other purposes.